



Course Outline

1. Course Identity

The information in this block should be exactly as approved by CUHK Senate. In case there are any differences, please explain in the table below.

Course code	FIN2010
Course title (English)	Financial Management
Course title (Chinese)	财务管理
Units	3
Language of Instruction	English
Description (English)	This is an introductory finance course that develops the basic concepts and tools for making financial decisions. The course consists of three parts: (1) basic tools (topics include time value of money and asset valuation), (2) investor's decisions (risk and return), and (3) corporate decisions (capital budgeting and capital structure).
Description (Chinese)	本课程旨在介绍金融的基本概念以及做金融决策所需要的基本工具。本课程包含三个部分：(1)基础工具（包括金钱的时间价值和资产定价），（2）投资者的决策（即风险和回报分析），以及（3）公司的决策（即资本预算及资本结构）

2. Prerequisites / Co-requisites

A. Prerequisites

No prerequisites.

B. Co-requisites

No co-requisite.

3. Learning Outcomes

Upon completing this course, students will be able to:

- Understand the financial decision-making process and be able to link each topic we learn later in the course with this process.



- Interpret the impact that financial decisions on firm's value creation and apply it to solve problems related to project selections and capital structure determination.
- Obtain basic knowledge of evaluating long-term securities and firm's projects and apply them
 - o to price companies' equities and bonds,
 - o to calculate project's IRR, NPV, and PI,
 - o to compare and select projects with/without capital constrains.
- Understand trade-off of risk and return in finance and apply it
 - o to determine the appropriate required rate of return for company's bonds, preferred stocks and common stocks,
 - o to determine the project required rate of return,
 - o to select project based on risk and return trade-off relation.
- Understand importance of firm's capital structure and obtain basic knowledge of what determine firm's capital structure. Students are expected to apply the knowledge to determine the optimal capital structure for a company and explain why the capital structure we observe in reality may be deviate from the optimal.

4. Course syllabus

Course Description:

This is an introductory finance course that develops the basic concepts and tools for making financial decisions. The course consists of three parts: (1) basic tools (topics include time value of money and asset valuation), (2) investor's problem (risk and return), and (3) corporate decisions (capital budgeting and capital structure).

Course Objectives and Learning Goals:

The course has several objectives. One is to provide students with solid competence in valuation principles and techniques, including valuations of capital investments as well as financial securities. Another is to provide students with a clear understanding of why and how corporations issue financial securities, and how their values are determined in financial markets. Finally, students will draw implications of key advances in financial theory for corporate financial management.

This knowledge helps students develop business knowledge and integrative abilities, as well as proficiency in a single discipline.

In this course, students are introduced to analytical and technological skills needed in finance. Among others, this includes using time value of money concepts. Students use financial calculators and MS Excel to solve valuation problems.



Textbook and Tools:

The textbook, Fundamentals of Financial management, by James C. Van Horne and John M. Wachowicz, Jr.

Fundamentals of Corporate Finance, by Stephen A. Ross, Randolph W. Westerfield, Bradford D. Jordan

You will need a calculator on each exam. A financial calculator such as Texas Instruments BA II Plus (including BA II Plus Professional) is recommended but not required.

5. Assessment Scheme

Component/ method	% weight
Assignments/Quizzes	25
Mid-term examination	30
Final examination	45

6. Grade descriptor

General

Grade	Description
A	Outstanding performance on all learning outcomes
A-	Outstanding performance on all (or almost all) learning outcomes
B+/B/B-	Substantial performance on all learning outcomes, OR high performance on some learning outcomes which compensates for less satisfactory performance on others, resulting in overall substantial performance
C+/C/C-	Satisfactory performance on the majority of learning outcomes, possibly with a few weaknesses.
D+/D	Barely satisfactory performance on a number of learning outcomes
F	Unsatisfactory performance on a number of learning outcomes, OR failure to meet specified assessment requirements.

7. Feedback for evaluation

CTE or informal feedback to instructors/TA



8. Reading

9. Course components

Activity	Hours/week
Lecture	3
Tutorial	1

10. Indicative teaching plan

Week	Content/ topic/ activity
001	What is Finance? / What is a Firm?
002	The Time Value of Money I / The Time Value of Money II
003	Bond Valuation I / Bond Valuation II
004	Stock Valuation I / Stock Valuation II
005	Risk and Return / Risk and Return of a Portfolio
006	CAPM / Optional Topic I
007	Midterm review / Midterm exam
008	Cash Flows of a Project I / Cash Flows of a Project II
009	Project Evaluation Criteria I / Project Evaluation Criteria II
010	Project Analysis I / Project Analysis II
011	Cost of Capital I / Cost of Capital II
012	Optional Topic II / Optional Topic III
013	Capital Structure I / Capital Structure II
014	Dividend Policy I / Dividend Policy II
015	Final Review

11. Any other information

12. Version date

Version number	5
As of (date)	2023/10/31